ORGANIZING

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Organizing

- The identification and classification of required activities
- The grouping of activities necessary for attaining objectives
- The assignment of each group to a manager with the authority (delegation) necessary to supervise it
- The provision for coordination horizontally (on the same or similar organizational level) and vertically (e.g., between corporate headquarters, division, and department) in the organizational structure

Organization

- An organizational structure should be designed
  - to clarify who is to do what tasks and who is responsible for what
  - results in order to remove obstacles to performance caused by confusion and uncertainty of assignment and
  - to furnish decision making and communication networks reflecting and supporting enterprise objectives.

- The term “ORGANIZATION” implies a formalised intentional structure of roles or positions.

Formal & Informal Organization

- **Formal organization:** the intentional structure of roles in a formally organized enterprise
  - A formal organization must be flexible. There should be room for discretion, for beneficial utilization of creative talents, and for recognition of individual likes and capacities in the most formal of organizations.

- **Informal Organization:** Chester Barnard, author of the manager classic The functions of the Executive, described as informal organization as any joint personal activity without conscious joint purpose, although contributing to joint results
  - The informal organization is a network of interpersonal relationships that arise when people associate with each other.

Organizational Division- The Department

- One aspect of organizing is the establishment of departments.
- The word department designates a distinct area, division or branch of an organization over which a manager has authority for the performance of specified activities.
- A department, as the term is may be the production division, the sales department, the West Coast branch, the market research section, or the accounts receivable unit.

Organizational Level and The Span of Management

- Organizational level exist because there is a limit to the number of persons a manager can supervise effectively, even though this limit varies depending on situations.
- Relationship between the span of management and organizational levels- A wide span of management is associated with few organizational levels; a narrow span with many levels.
- **Organization with Narrow Span:**
  - ***Advantage:*** *close supervision, Close control, Fast communication*
  - ***Disadvantages:*** *Supervisors tend to get too involved, Many levels of management, High costs due to many level, Excessive distance between lowest level and top level*
- **Organization with Wide Span:**
  - ***Advantages:*** *Supervisors are forced to delegate, Clear policies must be made, Subordinates must be carefully selected*
  - ***Disadvantages:*** *tendency of overloaded superiors to become decision bottlenecks, danger of superior's loss of control, Requires exceptional quality of managers*

The Intrapreneur and the Entrepreneur

- Intrapreneur is a person who focuses on innovation and creativity and who transforms a dream or an idea into a profitable venture by operating within the organizational environment.

- Entrepreneur is a person who does similar things, but outside the organizational setting. Entrepreneurs have the ability to see an opportunity, obtain the necessary capital, labour and other inputs, and then put together an operation successfully. They are willing to take personal risk of success and failure. According to Koontz and Weihrich the term Entrepreneur designates an enterprising person working either within or outside the organization.

Organization Structure: Departmentation

- The limitation on the number of subordinates that can be directly managed would restrict the size of enterprises if it were not for the device of departmentation.
- Grouping activities and people into departments makes it possible to expand organizations- at least in theory- to an indefinite degree.
- Departments, however, differ with respect to the basic patterns used to group activities.

Types of Departmentation

- Departmentation by Enterprise Function
- Departmentation by Territory or Geography
- Departmentation by Customer Group
- Departmentation by Product
- Matrix Organization
- Strategic Business Unit
- Organization Structure for Global Environment
- The Virtual Organization
- The Boundaryless Organization

Departmentation by Enterprise Function

- Grouping of activities in accordance with the functions of an enterprise such as production, sales and financing

Advantages	Disadvantages
Logical reflection of functions	De-emphasizes overall company objectives
Maintains power and prestige of major functions	Over specializes and narrow viewpoints of key personnel
Follows principle of occupational specialization	Reduces coordination between functions
Simplifies training	Responsibility for profits is at the top only
Furnishes means of tight control at top	Slow adaptation to changes in the environment

Departmentation by Territory or Geography

- Grouping of activities by area or territory is common in enterprises operating over wide geographic ares

Advantages
Places responsibility at a lower level
Places emphasis on local markets and problems
Improves coordination in a region
Takes advantage of economies of local operations
Better face to face communication with local interests
Furnishes measurable training

Disadvantages
Requires more persons with general manager abilities
Tends to make maintenance of economical central services difficult and may require services such as personnel or purchasing at the regional level
Makes control more difficult for top management

Departmentation by Customer Group

- Grouping of activities that reflects a primary interest in customers

Advantages	**Disadvantages**
Encourages focus on customer needs	May be difficult o coordinate operations between competing customer demands
Gives customers the feeling that they have an understanding supplier	Requires managers and staff expert in customers' problems
Develops expertise in customer area	Customer groups may not always be clearly defined

Departmentation by Product

- Grouping of activities according to products or product lines, especially in multiline, large enterprises

Advantages
Places attention and effort on product line
Facilitates use of specialized capital, facilities, skills, and knowledge
Permits growth and diversity of products and services improves coordination of functional activities
Places responsibility for profits at the division level
Furnishes measurable training ground for general managers

Disadvantages
Requires more persons with general manager abilities
Tends to make maintenance of economical central services difficult
Presents increased problem of top management control

Matrix Organization

- The combining of functional and project or product patterns of departmentation in the same organization structure

Advantages	Disadvantages
Oriented towards end result	Conflict in organization authority exists
Professional identification is maintained	Possibility of disunity of command
Pinpoints product-profit responsibility	Requires manager effective in human relation

Strategic Business Unit

- Distinct business setup as units in a larger company to ensure that certain product lines are promoted and handled as through each were an independent business

Organization Structure for Global Environment

The Virtual Organization

- The virtual organization is a rather loose concept of a group of independent firms or people that are connected through, usually, information technology.
- These firms may be suppliers, customers, and even competing companies
- The aim of the virtual organization is to gain access to another firm's competence, to gain flexibility, to reduce risks, or to respond rapidly to market needs.
- Virtual organizations coordinate their activities through the market where each party sells its goods and services.

The Boundaryless Organization

- Jack welch, former CEO of General Electric, stated his vision for the company as a “boundaryless company”. By this he meant an “open, anti-parochial environment, friendly toward the seeking and sharing of new ideas, regardless of their origin.
- The purpose of this initiative was to remove barriers between the various departments as well as between domestic and international operations